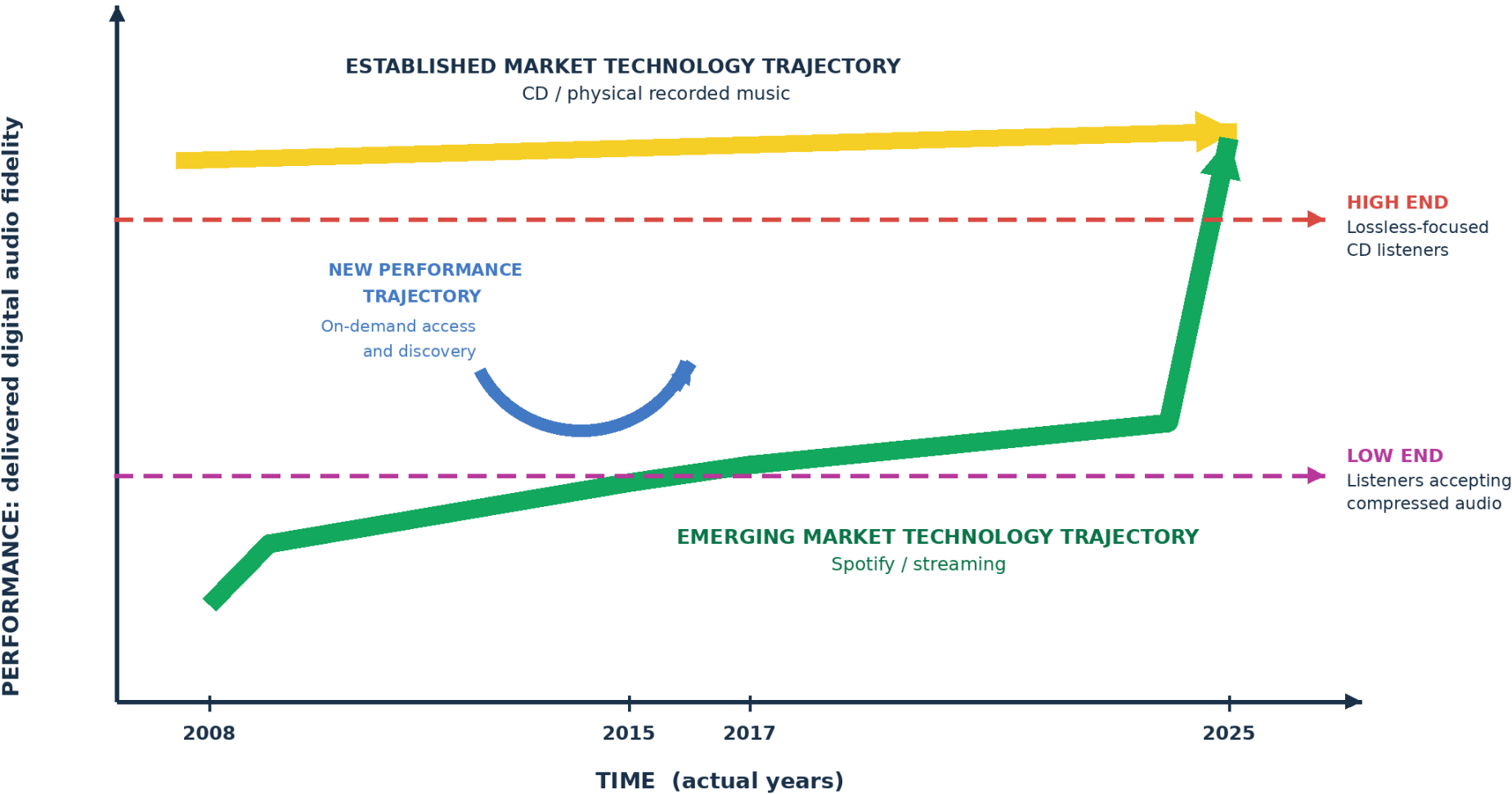


FROM OWNERSHIP TO ACCESS

Spotify vs CDs / Clayton Christensen disruptive innovation model / LDCW6123 Group 13

SPOTIFY vs CDs | CLAYTON DISRUPTIVE MODEL

Your technology: Spotify on-demand music streaming



2008 launch | 2009 mobile | 2015 discovery | 2017 industry streaming revenue lead | 2025 Premium Lossless
Conceptual placement only. 2017 revenue is an industry outcome, not audio parity; CD format remains fixed.

ESTABLISHED MARKET

A purchased CD provides a lossless 16-bit/44.1 kHz digital signal and lasting possession of that disc (Sony, n.d.).

EMERGING ENTRANT

Spotify launched in 2008 with access to licensed music. Early compressed streaming traded conventional signal fidelity for immediacy (Spotify, n.d.).

DIFFERENT VALUE

Search and discover music on demand without buying each CD. Mobile access arrived in 2009; Discover Weekly followed in 2015 (Spotify, n.d.).

CUSTOMERS

High-end: lossless-focused CD listeners. Lower conventional demand: people willing to accept compressed playback for access. These are needs, not income groups.

MODEL LIMIT

The near-level CD path reflects a fixed format. The 2017 industry revenue lead is not an audio-quality crossing or proof that Spotify alone caused CD decline.

2008

Spotify launches in six European markets

2009

Mobile access

2015

Discover Weekly

2017

Streaming leads global recorded-music revenue*

2025

Premium Lossless rollout; physical formats persist

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*IFPI (2018) reports 38.4% of global industry revenue in 2017. Conceptual graph: vertical positions are not numerical measurements.